MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION APRIL 2026

SECOND SEMESTER

MDC- MG1MDCECO101 – FUNDAMENTALS OF FOREIGN TRADE

(2024 ADMISSION ONWARDS)

QP Code: 25901655

SCHEME OF VALUATION

Part A

Multiple Choice Questions. Answer all questions.

Each question carries 1 mark.

1. c) International markets

2. b) Trade surplus

3. b) Promote trade among member countries

4. b) Machine Learning

5. b) Location of a country

6. b) Renewable energy equipment

7. b) Fixed by the government

8. b) Employment generation

9. b) System to record data safely

10. b) Tourism

11. b) Tariff

12. c) Money sent by migrants to home country

13. c) Uruguay Round

14. d) Pharmaceuticals

15. a) Promoting free trade

Part B

Short Answer Questions

Answer any 10 questions Each question carries 2 marks

16. The European Union is a group of European countries that cooperate economically and politically, allowing free movement of goods, services, capital, and people among member states.

17. Reduction or elimination of tariffs, Increased market access, Boost to exports, Lower prices for consumers, Encouragement of foreign investment, Improved efficiency and competitiveness.

18. Resource efficiency means using natural resources in a sustainable and optimal way with minimal waste.
It helps exports by:

Reducing production costs and improving competitiveness in international markets

19. Financial services support exports by:

Providing trade finance (loans, credit), facilitating international payments and

managing risks through insurance and hedging

20. In India, the Reserve Bank of India maintains foreign exchange reserves.

21. Wars disrupt trade by:

Damaging infrastructure, increasing transport costs and risks, causing supply chain disruptions

and leading to trade restrictions or sanctions

22. Non-tariff barriers are restrictions other than tariffs used to control imports, such as quotas, licenses, and quality standards.

23. Exports bring foreign currency into a country, increasing its foreign exchange reserves and strengthening its balance of payments.

24. The current account records a country's transactions related to:

Trade in goods and services, Income (interest, dividends) and Transfers (remittances, aid)

25. A trade deficit occurs when a country's imports exceed its exports.

26. The United Nations **Sustainable Development Goals (SDGs)** are important because they:

- Promote economic growth and poverty reduction

- Encourage sustainable use of resources
- Improve health, education, and living standards

27. A PTA is a trade agreement where member countries give preferential (reduced) tariffs to each other but do not eliminate them completely.

28. The General Agreement on Tariffs and Trade (GATT) and the General Agreement on Trade in Services differ in several key aspects. GATT, established in 1947, focuses on the promotion of international trade in goods and mainly covers physical products such as manufactured items and raw materials. In contrast, GATS, introduced in 1995, deals with trade in services, including sectors like banking, information technology, and tourism. While GATT aims at reducing tariffs and barriers on goods, GATS provides a framework for liberalizing and regulating global trade in services.

29. Reasons for India's reliance on imported crude oil:

Limited domestic oil production, high and growing energy demand, rapid industrialization and urbanization and lack of sufficient alternative energy sources

Part C

Short Essay Questions

Answer any 3 questions Each question carries 5 marks

30. India’s major trade partners include the United States, China, United Arab Emirates, Saudi Arabia, and the European Union.

Role in foreign trade**:**

- **United States**: Major destination for IT services, pharmaceuticals, and textiles
- **China**: Key supplier of machinery, electronics, and raw materials
- **UAE**: Important hub for oil trade, gold imports, and re-exports
- **Saudi Arabia**: Major source of crude oil imports
- **EU**: Large market for engineering goods, automobiles, and garments

These partners help India diversify trade, ensure energy security, and expand export markets

31. India’s exports have shifted from traditional goods (like agriculture and textiles) to **high-value sectors** such as:

IT and software services, Pharmaceuticals, Engineering goods, Electronics

Reasons for the shift: Technological advancement, Skilled workforce availability, Government initiatives like “Make in India”, Global demand for services

Impact:

Higher export earnings, improved global competitiveness, reduced dependence on low-value exports

32. **Free trade** is a system in which countries exchange goods and services without significant restrictions such as tariffs, quotas, or import bans. It promotes open markets and allows countries to specialize based on their comparative advantage. For example, under rules of the World Trade Organization, many countries reduce tariffs to encourage global trade.

Protectionism, on the other hand, refers to government policies that restrict imports to protect domestic industries from foreign competition. These measures include tariffs, quotas, subsidies, and import restrictions. For example, a country may impose high import duties on foreign steel to protect its local steel industry.

33. Domestic trade refers to trade that takes place within a country, while international trade occurs between different countries.

In domestic trade, the same currency is used, whereas international trade involves different currencies.

Domestic trade is subject to fewer restrictions and simpler regulations, while international trade requires compliance with more complex legal formalities and customs procedures.

Transport in domestic trade is generally easier, faster, and cheaper, whereas in international trade it is more complex and costly due to long distances and logistics.

Finally, domestic trade involves lower risk, while international trade carries higher risk due to factors such as exchange rate fluctuations and political instability.

34. **Meaning:**
FTAs are agreements between countries to reduce or eliminate trade barriers like tariffs and quotas.

Objectives:

Promote international trade, increase market access, encourage investment flows, enhance economic cooperation, reduce cost of goods for consumers and Improve efficiency and competitiveness.

35. The Carbon Border Adjustment Mechanism (CBAM) is a policy introduced by the European Union to impose carbon costs on imports based on their carbon emissions.

Key aspects:

- Applies to carbon-intensive products (steel, cement, etc.)
- Prevents “carbon leakage” (shifting production to countries with lax climate rules)
- Encourages cleaner production globally
- Importers must report emissions and may pay carbon charges

36. Technology plays a crucial role in modern trade:

- **Digital platforms** enable global e-commerce
- **Blockchain** improves transparency and reduces fraud
- **Automation & AI** enhance production efficiency
- **Digital payments** speed up international transactions
- **Logistics technology** improves supply chain management

Impact:

- Reduces transaction costs
- Increases speed and efficiency